STIRLING & ROSE

Digital Assets (Market Regulation) Bill 2022

Submission to Senator Bragg

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SUBMISSION BY

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Dear Senator Bragg

Digital Assets (Market Regulation) Bill 2022

Stirling & Rose welcomes the opportunity to comment on the Digital Assets (Market Regulation) Bill 2022 ('the Bill'). We broadly support licensing for digital assets, including exchanges and custody services and propose this would be best achieved through incorporating digital assets into the existing financial product regulatory regime.

1 Response to the Digital Asset (Market Regulation) Bill 2022

Responsible and innovative regulation of digital assets by the Australian Government will only be effective if we understand the subject matter properly. While we do not agree that an extensive 'token mapping' exercise is necessary prior to tabling legalisation, we highlight two material characteristics of digital assets that should be further considered before a bill of this nature is progressed.

First, 'digital assets' are programmable assets that can change across many parameters over time, including how they integrate with their underlying tech stack and the rights and obligations they embody (or purport to embody). Previously, we have spoken about the features of digital assets as the 'novel features problem' and the 'dynamism problem'.

Second, advising in this area has shown us that 'digital assets' (including blockchain-based digital assets) are often 'financial products' as defined in Ch 7 of the *Corporations Act.* At a minimum, token issuers often intend for tokens to have financial product characteristics in the future. As such, in our view, these assets should continue to be regulated as financial products, but with greater ease, clarity and nuance as to how they can be compliant with Australian law (particularly regarding their novel and dynamic features).

We will make a further point on the importance of the need for a user-friendly financial product regime when dealing with issuers and dealers in digital assets in section three below.

2 Proposed Definitions

The first question is how 'digital assets' should be defined, particularly in relation to 'financial products'. In our view, these are not and should not be mutually exclusive categories. The Bill adopts a definition that is similar, although not identical to, ASIC's definition, being:

> ***...****a digital representation of value or rights (including rights to property), the ownership of which is evidenced cryptographically and that is held and transferred electronically by:*
>
> *(a) a type of distributed ledger technology; or*
> *(b) another distributed cryptographically verifiable data structure.*

As defined, the category doubtless contains many financial products as defined in s 764A of the *Corporations Act*. In our view, many (even most) blockchain-based digital assets are, in fact, financial products. As such, Stirling & Rose broadly supports bringing digital assets into the financial product regulatory regime under the *Corporations Act*.

3 The Right Legislation for the Task

As a fundamental principle, 'digital assets' that are 'financial products' should be regulated under the *Corporations Act.* The *Corporations Act* should govern the field within the domain of financial products, services, markets, and related licensing.

In broad terms, we do not recommend the creation of a parallel regime for digital assets outside the *Corporations Act.* This is a question of basic good regulatory design. Put another way, why should digital assets that are in substance 'financial products' be subject to multiple regimes?

Relevant provisions of the *Corporations Act* should be amended and updated to properly address and characterise 'digital assets' (and related services) and, insofar as necessary, effectively address any unique risks raised by **blockchain-based financial products**.

Whilst a standalone licensing regime may appear attractive, it is important to consider whether the enactment of a parallel regime might increase the regulatory burden (and risk of regulatory overlap and duplication). In our experience, a standalone licensing regime would cause duplication for most affected entities. That is, it will create more regulatory burden than less (or neutral).

Instead, we recommend the addition of a tier three style market licence (a licence category that sits in substance and requirements a "peg" below a secondary market licence). To be effective, a tier three market licence would need to be easier to obtain and operate than current market licences. A tier three market licence would also need to be fit for purpose in dealing with digital assets that are characterised by revolving custody. Specifically, that custody by the issuer/dealer within the market may be

short-lived, and there may be little or no continued custody for Digital Asset Custody Service providers.

A tier three market licence would also need to solve for custody that is overseen at times by algorithms, not humans (see our comments on the responsible machine problem here). Perhaps most importantly, it will need to be designed with the understanding that new digital asset markets will often be operated by individuals who have not previously operated in the financial industry.

The digitalisation of all industries and sectors is leading to the creation of digital assets that are a form of complex money (see further here). **There is no industry that will not create digital assets as a bi-product of the core assets of its digitisation**. If ASIC becomes the regulator of all digital assets when they are traded, it may need to reconsider the characteristics of the target market it is serving and the inexperience of new participants in the financial market in issuing and dealing in traditional financial products and services. This may have policy implications for the shape, size and resourcing of the Australian security investment commission's remit as the size of the digital asset market and transferability of digital assets exponentially grows.

4 Regulating Stablecoins

The Bill also includes a section on stablecoin regulation. Here, too, the first question is what 'stablecoin' is understood to mean and how that category overlays onto the existing regulatory landscape (or not).

Again, we note that stablecoins are a subset of the greater dynamic digital asset class. Any attempt to legislate for stablecoins must recognise that a stablecoin is often, for example, a derivative and already subject to regulatory oversight.

The Bill defines stablecoins as digital assets 'designed to maintain a stable value relative to a particular unit of account or store of value.' It further stipulates that stablecoin issuers must *inter alia* hold in reserve 'the full amount of the face value of the liabilities for the stablecoins on issue from the licensee' in accounts with an authorised deposit-taking institution in Australian or foreign currency, as the case may be.

So defined, 'stablecoins' would appear to exclude tokens denominated in something other than the official currency of a recognised state and collateralised by assets other than bank-account money in such a unit of account. As numerous stablecoins exist with other peg/collateralisation requirements, this represents the choice to divide 'stablecoins' into two sub-categories. Stablecoins so defined would appear to be a form of non-cash payment facility for the purposes of the *Corporations Act*. Stablecoins collateralised by something other than a recognised state currency would, on the other hand, stray into 'derivatives' territory. Again, the question

arises whether stablecoins should be accepted as a coherent category at all and whether the assets identified as such in market parlance should be removed from the ordinary regime applicable to financial products.

5 Conclusion

Stirling & Rose broadly supports licensing for digital assets, including exchanges and custody services. We propose this would be achieved by integrating digital assets into the financial product regulatory regime and incorporating licensing requirements into the *Corporations Act*.

We welcome any further inquiries and look forward to participating in the next stages of the process.